

ITC

Basic Info

ABOUT [[edit](#)]

Established in 1910, ITC is the largest cigarette manufacturer and seller in the country. ITC operates in five business segments at present — FMCG Cigarettes, FMCG Others, Hotels, Paperboards, Paper and Packaging, and Agri Business. [1]

KEY POINTS [[edit](#)]

Geographical Distribution

For FY22, India accounted for 78% of ITC's revenue while rest was from exports[1]

FMCG - Cigarettes

ITC is the leader in the organised domestic cigarette market with a market share of over 80% [2]. It's wide range of brands include Insignia, India Kings, Classic, Gold Flake, American Club, Wills Navy Cut, Players, Scissors, Capstan, Berkeley, Bristol, Flake, Silk Cut, Duke & Royal. [3]

Despite this vertical contributing only 40% to the revenues, it is the most profitable business of the company with 81% contribution towards PBIT. [4]

Industry: India is the 4th largest market for illegal cigarettes. While the consumption rate of legal cigarettes is only 1/10th in the tobacco industry, It accounts for 4/5th Tax revenue share. Legal cigarette industry remains under pressure due to growth in illicit duty-evaded cigarette consumption. [5]

FMCG - Others

ITC has 25 mother brands spread across multiple FMCG sectors [6].

Popular brands include:

- Packaged foods: Aashirvaad, Sunfeast, Bingo, Yippee noodles, Candyman and mint-o
- Personal Care: Savlon, Fiama, Vivel and Superia
- Stationary: Classmate and Paperkraft
- Apparels: WLS
- Agarbattis: Mangaldeep and AIM (matches)
- ‘ITC e-Store’, the Company’s exclusive D2C platform, is operational in 24,000+ pin-codes.[7]

Hotels Business

Launched in 1975, ITC Hotels is one of the fastest growing hospitality chains in India. It is the second-largest hotel chain in India, with 108 hotels at 70 locations in the country, operating across multiple market segments. It possess a room inventory of ~290,000 rooms. [8]

It's hotels are classified under 4 distinctive brands.

- ITC Hotels: which has an exclusive tie up with Marriott International Inc's 'The Luxury Collection'.
- Welcomhotels: which offers 5-star hospitality for the discerning business & leisure traveller.
- Fortune Hotels: which operates in mid-market to upscale properties hotel segment all over India.
- WelcomHeritage: which brings together a chain of palaces, forts, havelis & resorts that offer unique experience. [9]

In H1FY24, they added 3 new properties to the Group portfolio including ‘WelcomHeritage Santa Roza, Kasauli’, ‘Fortune Park Hoshiarpur’ and ‘Fortune Ranjit Vihar, Amritsar.[10]

Agri. Business

ITC is the second largest exporter of agri products from the country. It

trades in feed ingredients, food grains, marine products, processed fruits, coffee etc [11].

It also exports leaf tobacco under this vertical. ITC is India's largest and world's 5th largest leaf tobacco exporter [12].

In H1FY24, ITC IndiVision Limited (IIVL), (WOS) received requisite regulatory approvals for its facility to manufacture Nicotine & Nicotine Derivative products conforming to US & EU pharmacopoeia standards.[13]

Paperboards, Paper & Packaging

ITC is the market leader in value added paperboards segment. It is also India's largest converter of paperboard into high quality packaging.[14] ITC manufactures the entire spectrum of paperboards - from 100% virgin, food-grade boards which are made from renewable and sustainable sources to 100% recycled boards.[15]

Revenue Split FY23[2]

Cigarettes : 37% (vs ~57% in FY17)

FMCG : 23%

Hotels : 3%

Paperboards & Packaging :11%

Agri : 23%

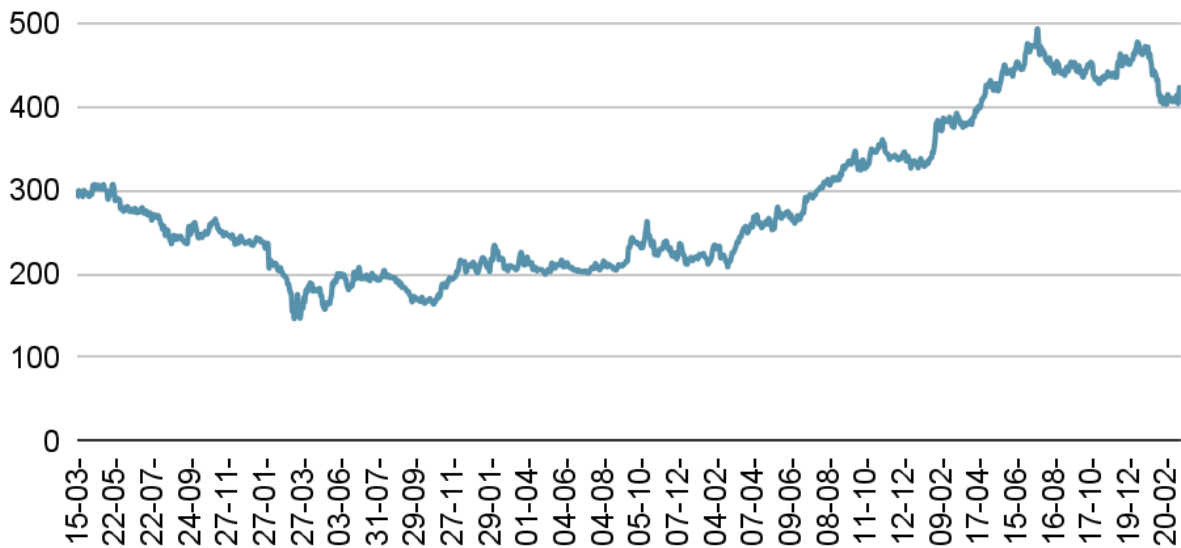
Demerger of Hotel Business[2]

In Aug,23, the company has approved to dmerge its hotels business into a new entity ITC Hotels Limited. ITC will continue to have a 40% shareholding in the new entity and the balance 60% will be held by ITC's existing shareholders in the proportion of their shareholding in ITC.

We can find every thing in this link basic to financial

(<https://www.screener.in/company/ITC/consolidated/#analysis>)

Points scored



Hindustan Unilever Ltd

- Market Cap ₹ 5,46,774 Cr.
- Current Price ₹ 2,328
- High / Low ₹ 2,770 / 2,300
- Stock P/E 53.0
- Book Value ₹ 214
- Dividend Yield 1.68 %
- ROCE 26.6 %
- ROE 20.5 %
- Face Value ₹ 1.00
- Pledged percentage 0.00 %

- Industry PE56.2
- EPS₹ 43.9
- Debt to equity0.03
- Debt₹ 1,272 Cr.
- Current ratio1.56
- Quick ratio1.30
- Price to Cash Flow54.7
- PEG Ratio3.73
- Free Cash Flow 3Yrs₹ 22,072 Cr.
- Free Cash Flow 5Yrs₹ 33,931 Cr.
- Sales growth 7Years9.46 %
- Sales growth 5Years11.2 %
- Sales growth4.68 %
- CMP / FCF74.3

ABOUT [[edit](#)]

Hindustan Unilever is in the FMCG business comprising primarily of Home Care, Beauty & Personal Care and Foods & Refreshment segments. The Company has manufacturing facilities across the country and sells primarily in India.^[1]

KEY POINTS [[edit](#)]

Beauty & Personal Care Segment (42% of revenues)^[1]

In this segment, the company has a wide-spread portfolio of more

than 900 SKUs spread across one or more of categories which are made for 14 consumer clusters identified in India.[2] The company earns ~29% margins from this segment which is the most among its divisions.[1]

Brands under segment :-

Skin Cleansing - Dove, Lifebuoy, LUX, Pears, Liril, Hamam, Lever Ayush

Oral Care - Pepsodent, Closeup, Lever Ayush

Hair Care - Tresemme, Dove, Indulekha, Lever Ayush

Skin Care - Glow & Lovely, Pond's, Vaseline, Lakme, Lever Ayush.

Color Cosmetics - Lakme[3][4]

Home Care Segment (29% of revenues)

The company sells products from various categories under this segment. It benefits from a large portfolio that straddles the economic pyramid with strong presence of brands across the mass, popular and premium segments.[5]

Brands under segment :-

Household care - Vim, cif, Domex, Sunlight, nature protekt

Fabric Wash - Comfort, Wheel, Rin, Surf excel, Love & care[6]

Purifiers - Pureit[7]

Foods & Refreshments Segment (29% of revenues)

The company sells various food products such as ketchups, jams, tea, coffee, soups, icecreams, nutrition products and others under this segment. It focuses on improved innovation, increased penetration and its Winning in Many Indias (WiMi) strategy to improve the sales.[5]

Brands under segment :-

Foods - Knorr, Kissan, Hellmann's, Annapurna

Beverages - Lipton, Bru, Broke Bond Red Label, Taj Mahal, Taaza, 3 Roses

Nutrition - Horlicks,
Ice Cream - Kwality Walls[8]

Footprint

The company's brands are available across 80 lakh+ stores across India and around 90% of all households in India use 1 or more of company's branded products.[9]

India is the primary place of business for the company which accounts for 96% of revenues and the rest 4% revenues are earned from sales outside India.[10]

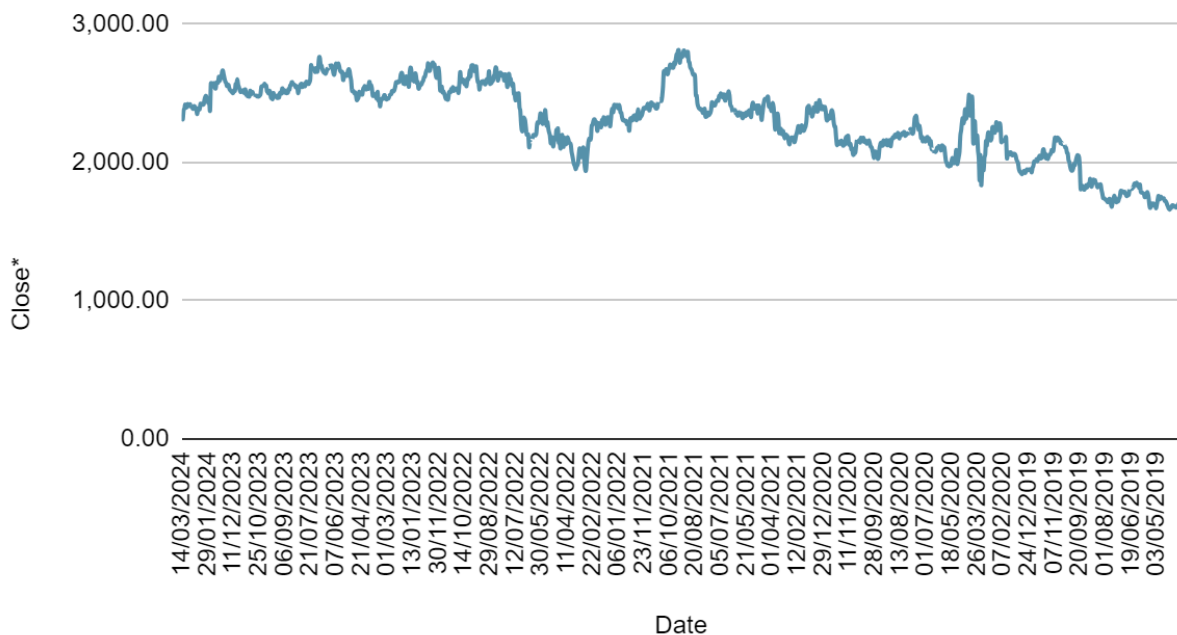
Market Leader

The company is the market leader in many product categories such as skin cleansing, skin care, hair care, fabric wash, household care, tea, health food drinks and ketchup. It is a market leader in ~90% of its businesses.[11]

- Market Cap ₹ 5,22,912 Cr.
- Current Price ₹ 419
- High / Low ₹ 500 / 370
- Stock P/E 25.6
- Book Value ₹ 55.4
- Dividend Yield 3.04 %
- ROCE 39.0 %
- ROE 29.1 %
- Face Value ₹ 1.00
- Pledged percentage 0.00 %

- Industry PE22.7
- EPS₹ 16.5
- Debt to equity0.00
- Debt₹ 284 Cr.
- Current ratio2.73
- Quick ratio1.73
- Price to Cash Flow27.7
- PEG Ratio2.19
- Free Cash Flow 3Yrs₹ 40,644 Cr.
- Free Cash Flow 5Yrs₹ 62,361 Cr.
- Sales growth 7Years8.84 %
- Sales growth 5Years10.3 %
- Sales growth1.05 %
- CMP / FCF38.6

HUL chart



My Opnion :

Both ITC and HUL appear to be reasonably valued, however, it's essential to consider their business diversification. While ITC operates across diversified segments, HUL focuses solely on FMCG. Considering this, one might argue that ITC presents a more diversified investment opportunity. Both ITC and HUL appear to be reasonably valued, however, it's essential to consider their business diversification. While ITC operates across diversified segments, HUL focuses solely on FMCG. Considering this, one might argue that ITC presents a more diversified investment opportunity.